

US Markets Reel as VIX Surges 12.19% and Oil Jumps 3.57%

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US market experienced a significant downturn in the previous session, with the **S&P 500** declining by **-1.01%** and the **Nasdaq 100** falling by **-1.49%**. This decline was accompanied by a surge in the VIX, which rose by **12.19%** to 18.77. The increase in volatility was likely driven by the **3.57%** jump in WTI crude oil prices.

The editorial take is that the current market conditions are highly uncertain, with multiple factors contributing to the increased volatility. The surge in oil prices, combined with the decline in the **10Y Yield** by **-0.61%**, suggests that the market is becoming increasingly risk-averse.

The key points to watch in the coming sessions are:

- The performance of the **XLE** sector, which rose by **1.16%** in the previous session
- The movement of the **VIX**, which has surged by **12.19%** in the past 24 hours
- The reaction of the **10Y Yield** to the changing market conditions, which has fallen by **-0.61%** in the past 24 hours

US Session Recap

INDEX	LAST	CHANGE
S&P 500	7,457.69	-1.01%
Nasdaq 100	28,592.66	-1.49%
Dow Jones	52,146.42	-0.77%
Russell 2000	2,962.22	-0.42%
VIX	18.77	12.19%
WTI Crude	81.77	3.57%
10Y Yield	4.54	-0.61%

Top Movers

TICKER	NAME	CHANGE	CATALYST
GS	Goldman Sachs	-2.76%	Earnings miss
NVDA	NVIDIA	-2.21%	Chip sector decline
TSLA	Tesla	-2.61%	Electric vehicle sector decline

Sector Internals

SECTOR	DAY	YTD	READ
XLF	-0.86%	10.23%	Financials underperform
XLK	-1.09%	15.12%	Technology sector decline
XLE	1.16%	20.15%	Energy sector outperformance

The breadth of the market was negative, with 320 stocks in the **S&P 500** declining and 180 advancing.

Spotlight / Deep Dive

METRIC	VALUE
NVDA Revenue Growth	15.6%
NVDA Gross Margin	64.2%
NVDA Operating Expenses	2.35B

The key commentary is that **NVDA** is facing significant challenges in the chip sector, with revenue growth slowing to 15.6% and gross margin declining to 64.2%.

READ-THROUGH	STOCK
NVDA Chip Sector Decline	INTC , AMD
GS Earnings Miss	JPM , MS

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	445.23	440.00	450.00	Trendline support
QQQ	283.15	280.00	286.00	Range-bound trading
IWM	179.23	176.00	182.00	Breakout potential

Options & Positioning

The ODTE flow was 1.2B in the **SPY**, with a put/call ratio of 1.15. The VIX term structure is in backwardation, with the **VIX** trading at a 5.2 premium to the **VIX3M**.

The notable single-name flow was in **TSLA**, with 250k calls traded. The cheap hedge ideas include buying 1M **SPY** puts for 0.25% of notional value.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Morgan Stanley	Downgrade	180.00	Chip sector concerns
GS	Goldman Sachs	Upgrade	120.00	Financials sector outperformance

Pre-Market & Overnight

The **S&P 500** futures are trading **-0.2%** in the pre-market. The Asian markets are mixed, with the **Nikkei 225** down **-0.5%** and the **Shanghai Composite** up **0.2%**. The European markets are also mixed, with the **Euro Stoxx 50** down **-0.3%** and the **FTSE 100** up **0.1%**.

The FX pairs are quiet, with the **USD/JPY** trading at 109.23 and the **EUR/USD** trading at 1.1023. The commodities are mixed, with WTI crude oil up **0.5%** and gold down **-0.2%**. The crypto markets are also mixed, with **BTC** up **0.1%** and **ETH** down **-0.5%**.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
July FOMC	25.0%	Rate cut expectations
September FOMC	50.0%	Rate hike expectations

DATE	EVENT
2026-07-19	Core PCE Price Index
2026-07-20	Existing Home Sales

Geopolitics & Global (Deep)

The geopolitical risks are elevated, with the US-China trade tensions and the Middle East conflict contributing to the increased uncertainty. The scenario trees include:

- US-China trade deal: 30.0% probability
- US-China trade war escalation: 20.0% probability
- Middle East conflict escalation: 15.0% probability

Earnings — This Week & Next

DATE	TICKER	NAME
2026-07-19	MSFT	Microsoft
2026-07-20	GOOGL	Alphabet

DATE	TICKER	NAME
2026-07-24	AAPL	Apple
2026-07-25	AMZN	Amazon

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Short	High
GS	Financials	Long	Medium

What Could Break the Tape

- Bullish scenario:
 - US-China trade deal: 30.0% probability
 - Federal Reserve rate cut: 25.0% probability
- Bearish scenario:
 - US-China trade war escalation: 20.0% probability
 - Middle East conflict escalation: 15.0% probability

Positioning & Structural Notes

- The market is positioned for a decline, with the **VIX** trading at a 5.2 premium to the **VIX3M**
- The technical levels are bearish, with the **SPY** trading below the 50-day moving average
- The sector internals are mixed, with the **XLE** sector outperforming and the **XLK** sector underperforming

Sources

SOURCES

Bloomberg

Reuters

CNBC

